

BLADES PLC CASE STUDY

International cash management

Recall from Chapter 18 that the new Thailand subsidiary of Blades plc received a one-time order from a customer for 120 000 pairs of 'Speedos', Blades' primary product. There is a six-month lag between the time when Blades needs funds to purchase material for the production of the Speedos and the time when it will be paid by the customer. Ben Holt, Blades' chief financial officer (CFO), has decided to finance the cost by borrowing Thai baht at an interest rate of 6% over a six-month period. Since the average cost per pair of Speedos is approximately 3500 baht, Blades will borrow 420 million baht. The payment for the order will be used to repay the loan's principal and interest.

Ben Holt is currently planning to instruct the Thai subsidiary to remit any remaining baht-denominated cash flows back to the United Kingdom. Just before Blades receives payment for the large order, however, Holt notices that interest rates in Thailand have increased substantially. Blades would be able to invest funds in Thailand at a relatively high interest rate compared to the UK rate. Specifically, Blades could invest the remaining baht-denominated funds for one year in Thailand at an interest rate of 15%.

If the funds are remitted back to the UK parent, the excess pound volume resulting from the conversion of baht will either be used to support the UK production of Speedos, if needed, or be invested in the United Kingdom. Specifically, the funds will be used to cover the cost of goods sold in the UK manufacturing plant. Since Blades used a significant amount of cash to finance the initial investment to build the plant in Thailand and purchase the necessary equipment, its UK operations are strapped for cash. Consequently, if the subsidiary's earnings are not remitted back to the United Kingdom, Blades will have to borrow funds at an interest rate of 10% to support its UK operations. Any funds remitted by the subsidiary that are not used to support UK operations will be invested in the United States at an interest rate of 8%. Holt estimates that approximately 60% of the remitted funds will be

needed to support UK operations and that the remaining 40% will be invested in the United Kingdom. Consequently, Holt must choose between two alternative plans. First, he could instruct the Thai subsidiary to repay the baht loan (with interest) and invest any remaining funds in Thailand at an interest rate of 15%. Second, he could instruct the Thai subsidiary to repay the baht loan and remit any remaining funds back to the United Kingdom, where 60% of the funds would be used to support UK operations and 40% would be invested at an interest rate of 8%. Assume no income or withholding taxes on the earnings generated in Thailand.

Ben Holt has contacted you, a financial analyst at Blades plc to help him analyze these two options. Holt has informed you that the current spot rate of the Thai baht is £0.015 and that the baht is expected to depreciate by 5% over the coming year. He has provided you with the following list of questions he would like you to answer.

- 1 There is a tradeoff between the higher interest rates in Thailand and the delayed conversion of baht into pounds. Explain what this means.
- 2 If the net baht received from the Thailand subsidiary are invested in Thailand, how will UK operations be affected?
- 3 Construct a spreadsheet that compares the cash flows resulting from the two plans. Under the first plan, net baht-denominated cash flows (received today) will be invested in Thailand at 15% for a one-year period, after which the baht will be converted to pounds. Under the second plan, net baht-denominated cash flows are converted to pounds immediately and 60% of the funds will be used to support UK operations, while 40% are invested in the United Kingdom for one year at 8%. Which plan is superior given the expectation of the baht's value in one year?